FORWARDALPHA · Quantitative Equity Research
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CONSUMER DISCRET. / LUXURY · ENXTPA: MC — THE ANTI-HYPE THESIS

MC: LVMH Moët Hennessy – Louis Vuitton SE

Fundamental Overvaluation · Negative Momentum · Free Cash Flow Destruction

NTM P/E	LTM P/E	12M Momentum	LTM P/BV
20.51x	21.65x	–3.1%	3.48x
Priced for perfection	Premium valuation	Distribution phase	High multiple

Value Rank	Growth Rank	EPS CAGR 3Y Hist.	FCF YoY 2026E
8/100	36/100	(8.0%)	(97.5%)
Bottom decile	Inefficient growth	Historical contraction	Severe cash burn

THE QUANTITATIVE CASE AGAINST LVMH

A brilliant brand portfolio does not automatically translate into efficient capital allocation. LVMH presents a compelling case of fundamental deterioration masked by brand prestige. With a **Value Rank of 8/100** — placing it in the absolute bottom decile of the European universe — and a **Growth Rank of 36/100**, LVMH is exactly the kind of highly inefficient, premium-priced asset our quantitative models are designed to surface across 3,700+ European equities.

1 · The Valuation Disconnect — Unjustified Premium

You are effectively paying top-tier growth multiples for a company demonstrating negative price momentum and severe fundamental contraction.

- ■ **Premium Valuation:** NTM P/E of **20.51x** and LTM P/E of **21.65x** — leaving absolutely zero margin of safety for investors buying at these levels.
- ■ **Momentum Breakdown:** 12-Month Price Return of –**3.1%** — the lower-highs chart structure indicates institutional capital is distributing, not accumulating.
- ■ **Book Value Premium:** Price-to-Book of **3.48x** — a stark contrast to true value plays, confirming the market is drastically overpaying for the brand moat.

2 · The Illusion of Growth — Historical Contraction

The market loves chasing forward revenue estimates, but our models heavily penalise poor historical execution on the bottom line.

- ■ **Earnings Contraction:** Last 3-Year EPS CAGR of **(8.0%)** — proving that recent operations have failed to translate into sustained bottom-line expansion.
- ■ **Quality of Earnings:** While analysts project forward revenue growth, relying on top-line narratives when historical net income is shrinking is a classic quantitative value trap.
- ■ **Growth Rank Penalty:** A Growth Score of **36/100** mathematically flags the severe discrepancy between top-line hype and bottom-line reality.

3 · Free Cash Flow Destruction — The Capital Burn

A strong brand does not excuse poor capital allocation. LVMH's projected cash flow statement triggers our most severe quantitative red flags.

- ■ **CapEx Explosion:** Capital expenditures are projected to surge **+91.6% YoY** in FY2026 estimates — an uncontrolled investment ramp with no visible return acceleration.
- ■ **Margin Wipeout:** Free Cash Flow margins expected to collapse from a healthy **21.7%** down to a microscopic **0.4%** — a near-total destruction of the cash generation capacity.
- ■ **FCF Collapse:** Free Cash Flow projected to plummet from **€43,585M to just €1,100M** — a staggering **(97.5%) YoY** collapse. Growing revenues by incinerating cash is an inherently inefficient business model.

The Bottom Line

Trading at over 20 times forward earnings with negative 12-month momentum and an imminent 97% wipeout of its Free Cash Flow, LVMH is the perfect example of market over-exuberance ignoring fundamental reality. A Value Rank of 8/100 places it firmly at the bottom of the European universe — flagged by our quantitative models as a high-risk value trap among 3,700+ European equities. This is exactly how our models filter real value from value traps: stop guessing, start calculating.
